

I write to inform the Staff of my opposition to the Commission's proposal to permit reporting companies to cease quarterly reporting, as described below. All investors, including those who typically do not trade securities in the short term, benefit from being able to view company results from mostly contemporaneous reporting periods. Under current rules, Forms 10-Q are typically available about 30 days after a reporting period; this misguided proposal would create a twice-annually information gap period of at least 90 days.

I am a (happily) retired former corporate counsel whose clients included reporting companies. Now, as an investor, I and all other investors benefit from quarterly reporting to enable investors to make informed investment decisions. For example, I routinely review Management's Discussion & Analysis especially in times of market upheaval. The most recent MD&A is also useful for assessing liquidity and capital when I consider investing in or disposing of fixed income securities.

While the advocates for this proposed rule argue that it will reduce expenses and create focus on longer-term investment horizons, I have a vastly different view:

- The United States has a well-deserved, stellar reputation for open and fair securities markets with robust disclosure framework, which will be eroded as reporting companies are tempted to save a few basis points in an expense line-item by delaying a periodic report.
- Investors will be "in the dark" about important company developments for extended periods of time when quarterly reports are missing.
- Rumors, speculation, and innuendo from unscrupulous secondary market traders can fill an information void in the absence of accurate, timely information, thus emboldening speculators and actually leading to greater market volatility in the short term.
- Management presentations filling a 10-Q reporting void may become 'pitch' documents not presenting a complete picture for an investor to be able to form an informed view about a reporting company.
- Over time, investors will begin to view U.S. securities markets as tilted in favor of insiders and those who have special access to information that the public doesn't have.

This ill-advised proposal is a solution in search of a nonexistent problem, and would result in less transparency and greater market volatility. I urge the Commission to reject this intuitive.

Respectfully,

Timothy M. Hayes